LEARNING OUTCOMES

1. Understand the concept of creativity and innovation
2. Differentiate types of innovation
3. Comprehend various forms of innovations
4. Relationships between creativity, innovation and entrepreneurship

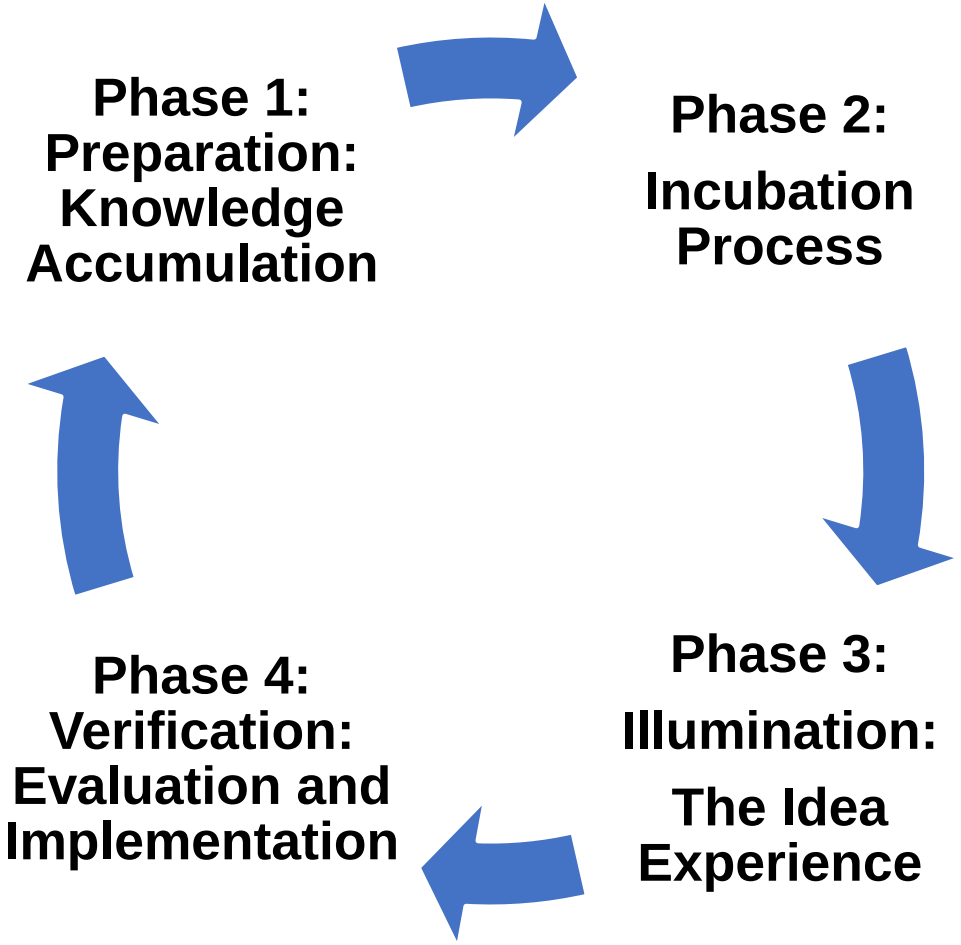
INTRODUCTION

- Creativity and innovation are two main components of today's entrepreneurship.
- Entrepreneurship is all about innovation where it starts with ideas that can be transformed.
- Everything starts with an idea. An idea is the starting point of creativity and innovation. Without ideas, there can never be anything creative or innovative.
- Innovation begins with creativity. People who are creative would be able to see new opportunities and develop new ideas. Innovation turns good ideas into reality.

CREATIVITY

- Creativity is idea generation which can be simple or complex. Creativity comes from the word ‘create’. What is ‘created’ or ‘generated’ is the idea.
- Merging of ideas which have not been merged before formed by developing current ones within our minds.
- The ability to use the imagination to develop new ideas, new things or new solutions
- The generation of ideas that result in improved efficiency or effectiveness of a system.
- The process of bringing something new into being.

CREATIVE PROCESS



Phase 1: Knowledge Accumulation - Study the subject matter – seek and gather information (observations, readings, conversations seminars, meetings, workshops, discussion - experts, practitioners, academicians, researchers in the field) - expose to a variety of perspectives

Phase 2: Mind Incubation Process - Allows creativity to work on it - Immerse in data & allow subconscious mind to ponder on the information gathered - Ideas emerge when we are busy doing something unrelated - engaging in 'mindless activities' (painting, meditate or play sports or board games)

Phase 3: Idea Experience - Discovery of the idea or solutions to the problems - Most exciting phase as appear out of the blue/ incrementally - expedite movement (daydream, fantasies).

Phase 4: Evaluation and Implementation - Most difficult - courage, discipline & perseverance - High level persistency and patience - do not easily give up as many failures before successful - Ideas are modified and tested before the best workable idea is put into a final form and successfully implemented.

What Is Innovation?

- Innovation is creativity when implemented.
- Innovation is putting the idea into practice which adds value to the idea
- Innovation is the product of creativity or ideas.
- Innovation can be products, services and processes to solve problems, cut cost and make life easier

Types Of Innovation

Radical	Incremental
Fundamental rethink	Steady improvements
based on disruptive technologies	Based on sustaining technologies
experimentation and play/make-believe	obedience to cultural routine and norms
need to be nurtured for long periods	can be rapidly implemented
worse initial performance, potential big gains	immediate gains
create new markets	develop customer loyalty

Source: Schaper and Volery (2007)

Form Of Innovation

Form of Innovation	Example
Product innovation	The development of new or improved product
Process innovation	The development of a new manufacturing process
Organisational innovation	A new venture division, introduction of new accounting procedure
Management innovation	TQM systems
Production innovation	Quality circles, Just-in-time (JIT)
Commercial/Marketing innovation	New financing arrangements
Service innovation	Internet-based financial services

Source: TROT (2005)

Sources Of Innovation

- Process needs
- The unexpected occurence
- The incongruity
- Industry or market changes
- Demographic changes
- Changes in perception
- New knowledge

Process Needs

- Require entrepreneurs to innovate and answer a particular needs of customers.
- When a weak link is evident in a particular process, an opportunity is present to the person or company willing to supply the "missing link".
- Eg: Sugar free products, time-saving devices - microwave oven.

Unexpected occurrence



- An opportunity can arise from an unexpected event/ discovery
- Happened by accident

Incongruities

- The gap between what is and what should be; arise whenever a difference exists between expectations & reality.
- A discrepancy between reality and what everyone assumes is real, or between what is and what ought to be, can create an innovative opportunity.
- Eg: The thought of the invention of TV means the end of movie theatres. However, movie theatres have since evolved and are still attracting moviegoers.

Industry and Market Changes

- Caused by industry and market changes due to new developments such as advances in technology.
- A business is ready for an innovative product, service or approach to the business when the underlying foundation of the industry or market shifts.
- Eg: Rest homes -> children busy working and cannot look after their parents & Kindy parents busy working and need place to care for children.

Demographic Changes

- Changes in the demographic create innovative opportunities.
- Population's size, age structure, composition, employment, level of education and income can

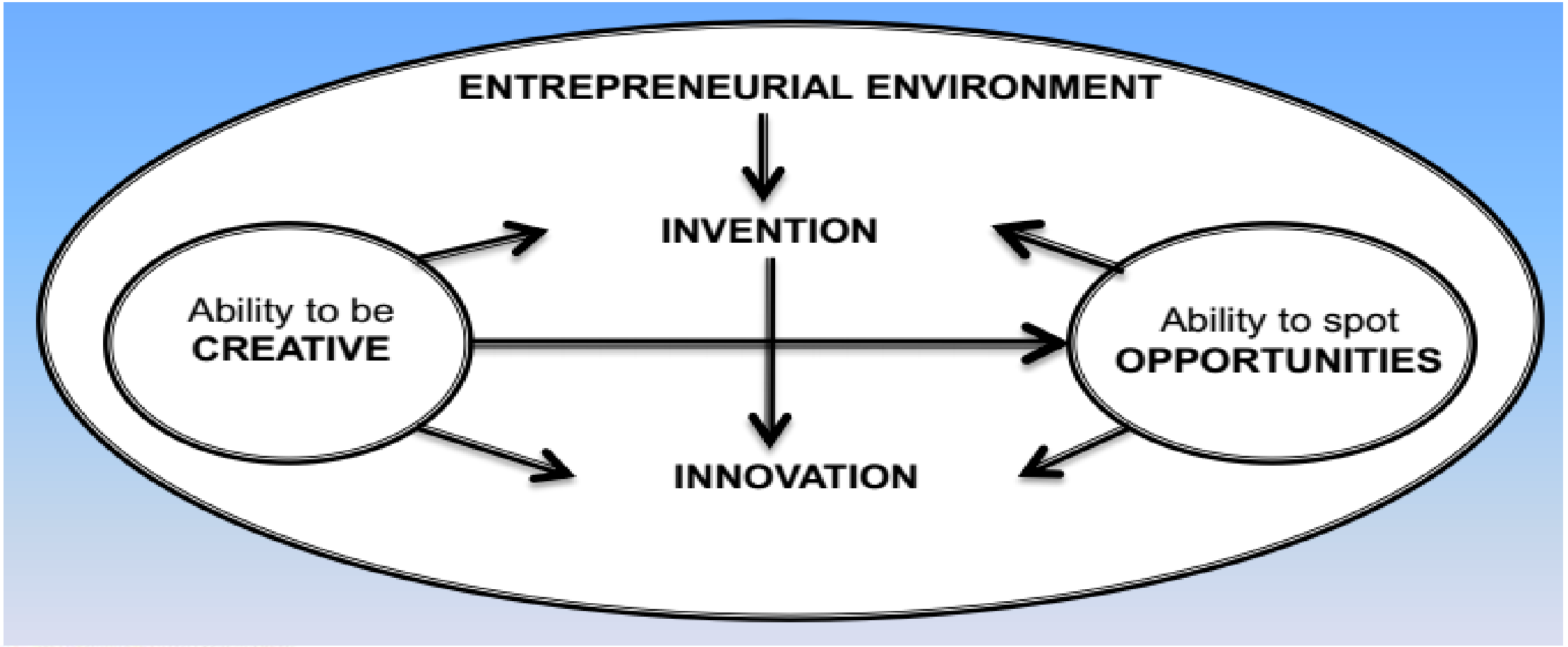
Perceptual Changes

- Society's general assumptions, attitudes and beliefs change.
- Cause mood swings and major changes in ideas
- Eg: fitness craze is resulted by perceived needs to be healthy & physically fit (jogging, aerobics, etc) & usage of personal computers have shifted; initially regarded as simple word processing machines now used for entertainment.

New Knowledge

- The basis of development of something brand new.
- Advances in scientific and non-scientific knowledge can create new products and new markets.
- Eg: flat-panel television, portable hand phones, which can be used anywhere on earth using satellite technology & intelligent facsimile machines and portable personal computers, provide lots of opportunities in this area.

LINKING CREATIVITY, INNOVATION, ENTREPRENEUR & ENTREPRENEURSHIP



Creativity

Ability to develop new ideas & discover new ways of looking at problems & opportunities – Done by generating useful & unique ideas -

Innovation

The ability to apply creative solutions to problems & opportunities to enhance & enrich people's lives – Outcome of creativity reality through innovation of product.

Entrepreneur

Those who marry their creative ideas with the purposeful action and structure of a business.

Entrepreneurship

Result of a systematic process of applying creativity & innovation to the needs & opportunities in marketplace.

SUMMARY

- Creativity and innovation are very important in entrepreneurship. Without creativity and innovation, the entrepreneur will not be able to sustain his business and to survive for the future.
- Creativity and innovation help entrepreneurs to survive for a long run, to keep growing, to make profit and to explore further.
- Entrepreneurs should always hunt for new ideas in order to be creative and transform creative ideas into products, services or processes as part of innovative efforts.



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